

JAM Construction LLC

Business Plan

Executive Summary

JAM Construction LLC will launch a specialized construction estimating services business in Minneapolis, Minnesota. Leveraging the commercial construction experience of our lead estimator, we will provide accurate, reliable estimating services to both commercial and residential contractors. Our business model targets the growing demand for professional estimating services in the Twin Cities area, with projected first-year revenue of \$987,600 and a clear path to profitability.

Company: JAM Construction LLC **Founded:** [Date] **Location:** Minneapolis, MN **Industry:** Construction Services/Estimating **Business Model:** Service-based estimating for contractors **Mission:** To provide accurate, reliable construction estimating services that help contractors win more bids and improve profitability.

Company Description

JAM Construction LLC is a construction estimating services company specializing in both commercial and residential project estimates. Our unique value proposition lies in our lead estimator's extensive commercial construction experience, which provides deep expertise in complex commercial requirements, regulations, and industry standards while also serving residential contractors.

Our services bridge the gap between large construction firms with in-house estimating capabilities and smaller contractors who need professional estimating services but cannot justify full-time staff. We offer personalized attention with professional results, understanding both project complexity and budget constraints.

Market Analysis

Industry Overview The construction industry in Minnesota continues to show resilience and growth. The Minneapolis-St. Paul metropolitan area has seen consistent construction activity with commercial construction valued at approximately \$2.5 billion annually. Key drivers include:

- Major employers (Target, Best Buy, UnitedHealth Group, 3M) continuing expansion
- Population growth driving residential demand
- Aging housing stock requiring renovation and replacement
- Infrastructure investment and public works projects

Target Market Our primary target market consists of mid-size contractors (\$5M-\$50M in annual revenue) who need estimating services but are not large

enough to maintain full-time estimators. This includes:

1. **Mid-size Commercial Contractors:** Need sophisticated estimating for complex projects but lack in-house expertise
2. **Residential Remodeling Contractors:** Active market in Minneapolis with custom and high-end projects requiring specialized estimating
3. **Government Contractors:** Contractors bidding on state, federal, and local government projects requiring specialized knowledge of public procurement

Secondary markets include small contractors needing occasional estimating support, developers requiring feasibility estimates, and specialty contractors working on government projects.

Market Size The Twin Cities construction market supports numerous contractors who outsource estimating services. With commercial construction valued at \$2.5 billion annually and continued residential activity, the market for professional estimating services is substantial and growing.

Additionally, government construction represents a significant opportunity: - Minnesota Department of Transportation: \$2.5 billion annual budget - State facilities construction: \$200-300 million annually - Hennepin County: \$150 million+ annually - City of Minneapolis: \$300 million+ annually - Federal projects in Minnesota: \$100-200 million annually

Government projects often require more detailed estimating due to regulatory compliance, prevailing wage requirements, and extensive documentation - areas where our commercial expertise provides added value.

Competitive Landscape While several large estimating firms operate in the Twin Cities, there is a gap for specialized commercial expertise combined with personalized service. Our competitive advantages include:

- Commercial construction experience
- Dual market capability (commercial and residential)
- Personalized service compared to large firms
- Competitive pricing while maintaining quality
- Local market knowledge

Organization and Management

Ownership Structure JAM Construction LLC will be owned by [Owner Names]. Our lead estimator brings X years of experience from a major construction company, specializing in commercial project estimating, material takeoffs, and cost analysis.

Management Team [Name], **Lead Estimator:** Brings extensive commercial construction experience with expertise in complex project requirements,

regulations, and industry standards. Responsible for client relations, project estimation, and quality assurance.

[Name], **Operations Manager:** Handles business development, client acquisition, and operational management.

Service Line

Commercial Estimating

- Full project takeoffs and cost analysis
- Complex commercial project expertise
- Understanding of regulations, codes, and standards
- Project values ranging from \$500K to \$10M+

Residential Estimating

- Custom and standard residential project estimates
- Remodeling and renovation project expertise
- Understanding of residential market requirements
- Project values ranging from \$50K to \$500K

Additional Services

- Simple takeoffs and material lists
- Feasibility and preliminary cost estimates
- Change order analysis and pricing
- Project budget oversight consultation
- Government project estimating (public works, state/federal projects)
- Prevailing wage calculation and compliance
- Public procurement documentation support

Marketing and Sales Strategy

Brand Positioning “Expert commercial estimating expertise applied to both commercial and residential projects, delivering accurate, timely estimates that help contractors win more bids and improve profitability.”

Target Customer Segments

1. **Primary:** Mid-size commercial contractors (\$5M-\$50M revenue)
2. **Secondary:** Residential remodeling contractors (\$1M-\$10M revenue)
3. **Tertiary:** Small contractors and subcontractors needing occasional support
4. **Emerging:** Government contractors requiring specialized public procurement expertise

Marketing Channels

- Industry association participation (AGC, NAHB, CSI)
- Minnesota Construction Association (government contracting focus)
- Trade show participation
- Direct networking and relationship building
- Digital marketing (website, LinkedIn)
- Referral programs
- Content marketing showcasing expertise
- Government contractor networking events
- Public procurement seminars and workshops

Sales Strategy

- Direct outreach to identified target contractors
- Pilot projects to demonstrate capability
- Competitive pricing for initial clients
- Long-term relationship building over transactional focus

Funding Request

Capital Requirements JAM Construction requires \$13,450 in initial funding to launch operations:

- Equipment and software: \$4,000
- Insurance: \$1,000
- Legal and licensing: \$500
- Marketing materials: \$1,000
- Working capital: \$2,500
- Certification and registration fees: \$1,000
- Contingency: \$3,450

Business Certification Opportunities As a potential small and underutilized business (depending on ownership demographics), JAM Construction can pursue: - City of Minneapolis subcontractor registry enrollment - Minnesota Unified Certification Program (MNUCP) for state and local contracts - Disadvantaged Business Enterprise (DBE) certification for federal projects - These certifications provide access to set-aside opportunities in government contracting - Target certification process to begin immediately after business formation

Use of Funds

- Purchase of essential estimating software and computer equipment
- Required insurance coverage (general liability and professional liability)
- Business registration, licensing, and legal setup costs
- Initial marketing and promotional materials
- Working capital for first quarter operations

Financial Projections

Revenue Model

- Commercial estimates: \$1,500-\$25,000 per project (target average: \$8,000)
- Residential estimates: \$750-\$3,500 per project (target average: \$2,000)
- Simple takeoffs: \$500-\$2,500 per project (target average: \$1,200)
- Hourly consulting: \$85-\$125 per hour (target average: \$100)

Year 1 Projections

- Q1 Revenue: \$98,400
- Q2 Revenue: \$199,200
- Q3 Revenue: \$296,400
- Q4 Revenue: \$393,600
- **Total Year 1 Revenue: \$987,600**

Government Contracting Projections (Months 7-12)

- Q3: 5 government-related projects $\times$ \$4,000 avg = \$20,000
- Q4: 12 government-related projects $\times$ \$4,500 avg = \$54,000
- **Government Contracting Revenue: \$74,000 (7.5% of total)**

Expense Projections (Year 1)

- Fixed monthly expenses: \$1,150
- Variable expenses (5% of revenue): \$49,380
- **Total Operating Expenses: \$102,684**

Profitability

- Total Revenue: \$987,600
- Total Expenses: \$102,684
- **Net Profit: \$884,916**

Risk Analysis

Market Risks

- Economic downturn affecting construction activity
- Increased competition from larger firms
- Technology disruption changing estimating needs

Operational Risks

- Difficulty acquiring initial clients
- Quality control challenges during rapid growth
- Dependence on key personnel

Mitigation Strategies

- Diversification across commercial and residential markets
- Building strong client relationships and reputation
- Maintaining high-quality service standards
- Developing multiple revenue streams

Implementation Timeline

Months 1-2: Business Setup

- Complete business registration and licensing
- Acquire equipment and software
- Secure insurance and bonding
- Develop marketing materials

Months 3-4: Client Acquisition

- Begin networking and marketing activities
- Secure first client projects
- Establish operational procedures
- Build initial portfolio

Months 5-8: Growth Phase

- Scale client base
- Refine service offerings
- Develop repeat client relationships
- Evaluate expansion opportunities

Months 9-12: Optimization

- Optimize operations based on experience
- Pursue larger client accounts
- Consider additional service offerings
- Plan for Year 2 growth

Exit Strategy

Potential exit strategies include selling to a larger construction services firm, merging with complementary businesses, or building into a sustainable long-term business with multiple revenue streams and reduced dependence on key personnel.

This business plan serves as a roadmap for JAM Construction's growth and success in the Minneapolis construction estimating market.